in the general level of prices"[3]. The economic survey of 2008–09 observes inflation as "... an upward movement in the general prices of goods and services and is estimated as the percentage rate of change in a price index over the reference time period".

Measurement of Inflation

Inflation is measured with the help of general or wholesale price index in India[4]. The percentage of rise in the price index of a particular period from previous period price index is the rate of inflation.

Inflation = current period price index – last period price index / last period price index*100

In the above example,

Inflation[5] in the year 2006–07 = 175 – 150/150 × 100 = 16.6%

This is a simple index based calculation. Actually, inflation is calculated on the basis of weighted index numbers.

Note: Base year is used only to calculate the index number. The inflation is calculated as a percentage of rise in index number over last year.

Year-on-Year Inflation

Year–on-year inflation means rate of change of inflation over the corresponding period (week or month or quarter in relation to the frequency of the data) of the previous year. For example, the inflation on second week of January 2010 is computed by calculating the rise in index number over index number on second week of January 2009.